TEXORA · LECTURE SHEET

Documentation and the Letter of Credit

The documents that move with an export shipment and the money that moves against them: invoice, packing list, bill of exchange, bill of lading, certificates, inspection, Incoterms, the clearing chain, export incentives — and the letter of credit that binds them together.

TE-4104 · APPAREL MERCHANDISING AND INTERNATIONAL TRADE · TOPIC 5 · LEVEL 4 TERM 1

1. Why documents decide payment

In export trade the buyer, the banks and customs rarely see the goods; they see **documents**. Payment under a letter of credit is made against documents that comply with the credit's terms — not against the garments themselves. A perfect shipment with a discrepant document can be refused; a correct document set is therefore a production output, prepared with the same discipline as the garment. The merchandiser / export office owns that discipline.

2. The principal export documents

DOCUMENT	ISSUED BY	FUNCTION AND KEY CONTENTS
Commercial invoice	Exporter	The seller's bill for the goods: exporter and buyer names and addresses, invoice number and date, description of goods, quantity, unit price and total value on the agreed Incoterm basis, PO / L/C references. It is the central value document for customs and the bank.
Packing list	Exporter	The physical companion to the invoice: carton-by-carton contents — style, colour, size breakdown per carton, carton count, gross and net weights and measurements — so the buyer and customs can verify what each carton holds without opening all of them.
Bill of exchange (draft)	Exporter (drawer), drawn on the buyer / bank	A written order to pay a stated sum at sight or at a stated future date (usance). Presented with the shipping documents under an L/C or collection, it is the instrument

		through which payment is demanded and, when accepted, becomes the payer's obligation.
Bill of lading (B/L)	Carrier / shipping line (or its agent)	Three functions in one document: receipt for the goods shipped, evidence of the contract of carriage, and document of title — whoever lawfully holds the B/L controls delivery of the goods. States shipper, consignee, notify party, vessel, ports, carton count and weight, and the shipped-on-board date.
Certificate of origin	Chamber of commerce / authorised body	Certifies the country where the goods were made. The buyer needs it for customs and, where a preference scheme applies, for claiming preferential duty treatment.
Certificate of analysis	Laboratory / testing house (or manufacturer, as specified)	Reports the tested properties of the goods — for apparel, typically fabric / garment test results such as composition and performance properties — certifying they meet the specified standard.
Pre-shipment inspection certificate	Inspection agency (buyer-nominated or authority, as the contract requires)	Certifies that the goods were inspected before shipment for quantity and quality against the order. In apparel practice the final (pre-shipment) inspection checks workmanship, measurements, packing and quantity, usually on an AQL sampling basis.

3. Shipments and Incoterms

Incoterms are the standard three-letter trade terms published by the International Chamber of Commerce (ICC). Each term allocates, between seller and buyer: who arranges and pays for carriage and insurance, where delivery occurs, and the point at which **risk** passes from seller to buyer. The price basis of every quotation and invoice (Topic 4) is an Incoterm plus a named place — "FOB Chattogram" is a complete term; "FOB" alone is not.

TERM	SELLER DELIVERS / RISK PASSES	MAIN CARRIAGE PAID BY	INSURANCE	NOTES
EXW — Ex Works	At the seller's premises; risk passes there	Buyer	Buyer's concern	Minimum seller obligation; buyer handles export clearance and all transport.

FOB — Free On Board	On board the vessel at the named port of shipment	Buyer (sea freight)	Buyer's concern	The standard apparel export basis in this course; seller clears export customs and loads.
CFR — Cost and Freight	On board at shipment port (risk passes there, although seller pays freight)	Seller to destination port	Buyer's concern	Risk and cost split at different points — the classic examination trap.
CIF — Cost, Insurance and Freight	On board at shipment port (risk passes there)	Seller to destination port	Seller arranges (minimum cover, unless otherwise agreed)	As CFR, plus seller-provided insurance for the buyer's benefit.
DDP — Delivered Duty Paid	At the buyer's named place, import duty paid	Seller	Seller's concern in practice	Maximum seller obligation; seller clears import customs and pays duty in the buyer's country.

READING AN INCOTERM

Ask three questions of any term: Where does risk pass? Who pays for which leg of transport? Who clears which customs? If a quotation cannot answer all three, its price cannot be compared with any other.

4. The letter of credit (L/C)

A **letter of credit** (documentary credit) is a bank's written undertaking, issued at the buyer's request, to pay the exporter a stated sum when the exporter presents the documents the credit specifies, within the credit's validity and shipment dates. It substitutes the issuing bank's credit for the buyer's: the exporter who ships in conformity with the L/C and presents conforming documents is paid by the banking chain even if the buyer later fails. The parties are:

- **Applicant** — the buyer / importer who asks for the credit.
- **Issuing bank** — the buyer's bank, which issues the credit and undertakes to pay.
- **Advising bank** — the bank in the exporter's country (usually the exporter's bank) that advises the credit to the beneficiary and later negotiates / forwards documents.
- **Beneficiary** — the exporter, in whose favour the credit is issued.

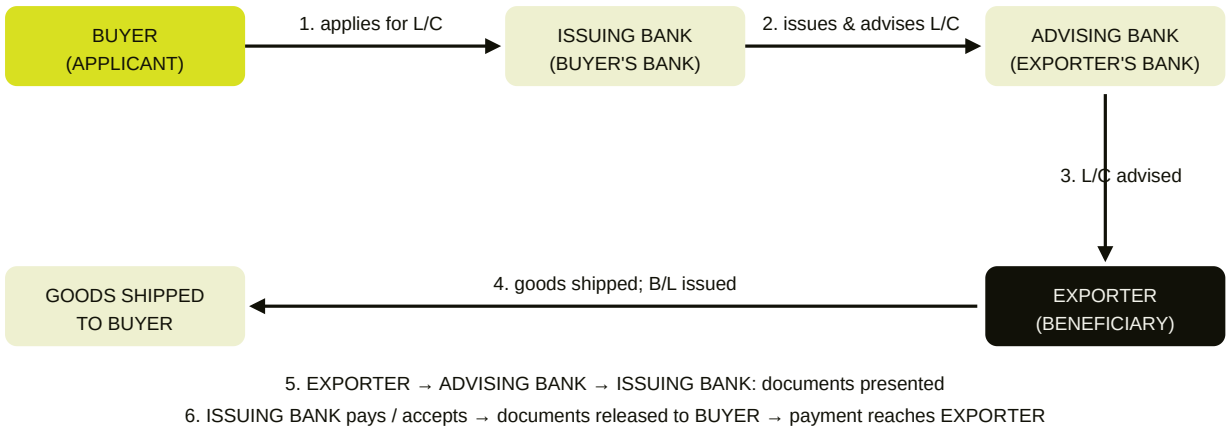


Figure 1 — Letter-of-credit flow. Credit flows buyer → issuing bank → advising bank → exporter before shipment; after shipment, documents flow the reverse way through the banks, and payment follows documents that comply.

Working rules of an L/C. Check the credit on receipt against the contract / PO (amount, dates, documents, description, port, latest shipment date and presentation period); request amendment immediately for anything that cannot be performed as written — a discrepancy known before shipment is an amendment, after shipment it is a refusal risk. Banks examine documents on their face, so names, dates, quantities and references must agree exactly across the invoice, packing list, B/L and certificates.

5. Import strategy, delivery and negotiation of documents

The exporter also imports — fabric, trims and machinery — and an **import strategy** applies the same discipline in reverse: source selection on total landed cost (price, freight, duty, lead time and reliability), payment terms matched to cash flow (L/C at sight vs. usance), currency and supplier risk spread, and stock policy for long-lead inputs (Topic 3). **Delivery** in the documents sense means presenting the complete, conforming document set to the advising / negotiating bank within the L/C's presentation period. **Negotiation** here has its banking meaning: the bank purchases the exporter's draft and documents — paying the exporter (less charges / discount) and forwarding the documents for reimbursement. Negotiation converts shipped goods into cash without waiting for the buyer's bank to remit.

6. Retirement of documents, and clearing & forwarding

Retirement of documents is the buyer's act of taking up the documents from the issuing bank — by paying at sight, or by accepting the usance draft and paying at maturity. Only after retirement does the buyer hold the bill of lading and can take delivery of the goods; a buyer who delays retirement leaves cargo at port accumulating charges. On the exporter's side, retirement by the buyer closes the payment cycle begun at shipment.

Clearing and forwarding (C&F) agents are the licensed specialists who move goods through customs and onto or off the vessel. Their functions in customs clearance include:

- Preparing and submitting the customs declaration (bill of entry for imports, bill of export / shipping bill for exports) with the supporting documents.
- Classification of goods under the customs tariff and calculation / payment arrangement of duties and taxes on the client's behalf.
- Liaising with customs during assessment, examination and release of the consignment.
- Arranging port handling, transport to / from the port or inland container depot, and delivery to the carrier or the importer's warehouse.
- For exports, completing the shipping formalities so the shipped-on-board B/L and customs-certified documents reach the exporter in time for bank presentation.

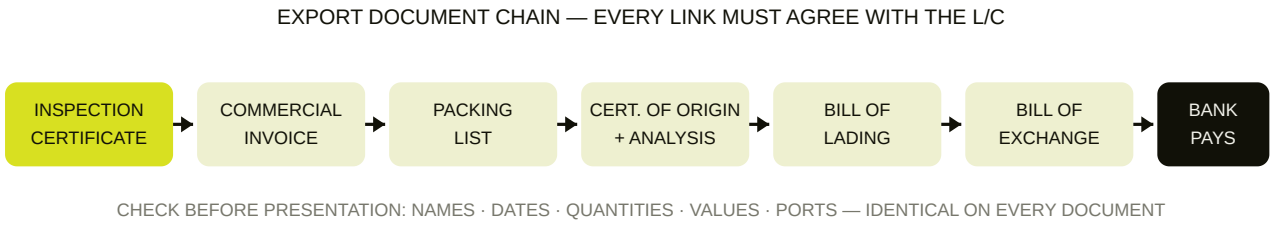


Figure 2 — The export document chain as a pre-presentation checklist. The set is only as strong as its weakest document: one inconsistent date or quantity makes the whole presentation discrepant.

7. Technology transfer and technical assistance

Export growth in apparel is supported by **technology transfer** — the movement of machinery, process know-how and production systems from equipment suppliers and buyers into the factory (for example, new sewing, cutting, washing or quality systems installed with supplier training) — and by **technical assistance**: buyer technicians, supplier engineers and consultants who install, demonstrate and train until local staff can run the process independently. Both matter commercially: transferred technology raises the product level a factory can offer, and assistance shortens the learning period during which quality and efficiency are at risk.

8. Procedure for realisation of export incentives

Governments support exporters through **export incentives** (cash incentives / assistance on eligible exports, duty drawback and similar schemes, as the policy of the day provides). The realisation procedure, in principle, runs:

1. **Ship and document.** Complete the export with a fully documented shipment; the incentive claim rests entirely on the export documents and the bank-certified evidence of export and payment

realisation.

2. **Realise the export proceeds.** Payment must be received through the banking channel (the L/C / collection route above) — incentives follow realised proceeds, not invoices alone.
3. **Prepare the claim file.** Application in the prescribed form with the required documents — typically the bank's proceeds-realisation certificate, shipping documents and customs-certified export documents for the claim.
4. **Submit through the bank.** The claim is lodged via the exporter's authorised dealer bank, which verifies and forwards it for audit / approval as the scheme requires.
5. **Audit and disbursement.** After verification (and audit where prescribed), the incentive is credited to the exporter's account. Errors in the underlying export documents resurface here — one more reason the document chain of Figure 2 must be exact.

Glossary

TERM	MEANING
Letter of credit	A bank's undertaking to pay the exporter against presentation of documents complying with the credit's terms.
Bill of lading	The carrier's receipt, contract of carriage and document of title for shipped goods.
Bill of exchange	A written order (draft) to pay a stated sum at sight or at a future date, presented with the shipping documents.
Incoterms	ICC standard trade terms allocating delivery, risk, carriage, insurance and clearance duties between seller and buyer.
Negotiation (banking)	A bank's purchase of the exporter's draft and documents, paying the exporter and forwarding the documents.
Retirement of documents	The buyer's taking up of documents from the issuing bank by payment or acceptance of the draft.
C&F agent	A licensed clearing and forwarding agent who performs customs clearance and shipment formalities for traders.

Key points and summary

- Under documentary payment, banks pay against conforming documents, not against goods — document accuracy is a production output.

- The core set: commercial invoice (value), packing list (contents), bill of exchange (demand for payment), bill of lading (title), certificate of origin, certificate of analysis, and pre-shipment inspection certificate.
- Incoterms allocate risk, carriage cost and clearance: EXW is the seller's minimum, DDP the maximum; FOB is this course's standard export basis; CFR / CIF split risk (at shipment) from freight payment (by seller).
- The L/C substitutes the issuing bank's credit for the buyer's; documents flow through the banks after shipment and payment follows conforming documents; the buyer retires the documents to obtain the goods.
- C&F agents perform customs clearance; export incentives are realised only after proceeds are realised through the bank and a verified claim is submitted.

Practice

Answer in your own words; brief model answers follow.

1. A shipment is perfect but the invoice shows a different total quantity from the packing list. Under an L/C, what is the likely banking outcome and why?
2. For each term — EXW, FOB, CIF, DDP — state who pays the ocean freight.
3. Why is CFR described as splitting risk and cost at different points?
4. Put the L/C events in order: (a) exporter presents documents; (b) buyer applies for the credit; (c) issuing bank pays against conforming documents; (d) advising bank advises the credit to the exporter; (e) exporter ships the goods.
5. A buyer delays retiring the documents for a sight L/C. Give two consequences.

Answer key

1. The presentation is discrepant: banks examine documents on their face and require them to agree with each other and the credit, so the bank may refuse / seek the buyer's waiver, and payment is delayed or lost despite good goods.
2. EXW — buyer. FOB — buyer. CIF — seller (freight to destination port is in the seller's price). DDP — seller.
3. Under CFR the seller pays freight to the destination port, but risk passes to the buyer when the goods are on board at the shipment port — cost travels further than risk.
4. (b) → (d) → (e) → (a) → (c).
5. The buyer cannot obtain the bill of lading, so the goods cannot be cleared and port / storage charges accumulate; and the commercial relationship and the buyer's standing with its bank are damaged (the bank has paid or committed against the credit).